

EXECUTIVE BRIEF

Earn the Model’s Complexity

What leaders should authorize, require, and refuse

Production Unit	PU-B07-C04
Decision status	Controlled learning asset
Audience	Executives, programme owners, statisticians, technical leads
Data	Synthetic examples only

Executive takeaway: Adopt complexity only when it improves future, decision-relevant performance over transparent baselines and remains governable.

Why it matters

Random splitting, weak baselines, and point estimates can create impressive results that fail under real forecasting conditions.

Illustrative application

A seasonal regression is compared with last-value, seasonal-history, and trend baselines using time-ordered holdouts and interval coverage.

Minimum approval conditions

- Named accountable owner and lawful purpose
- Defined evidence, provenance, reference period, population, and geography
- Decision-relevant validation and visible uncertainty
- Documented abstention, referral, override, and incident processes
- Accessibility, equity, security, retention, and retirement review

Non-negotiable boundary

The analytical system may inform review. It may not independently authorize benefits, sanctions, enforcement, clinical treatment, school exclusion, displacement, or another consequential action.